

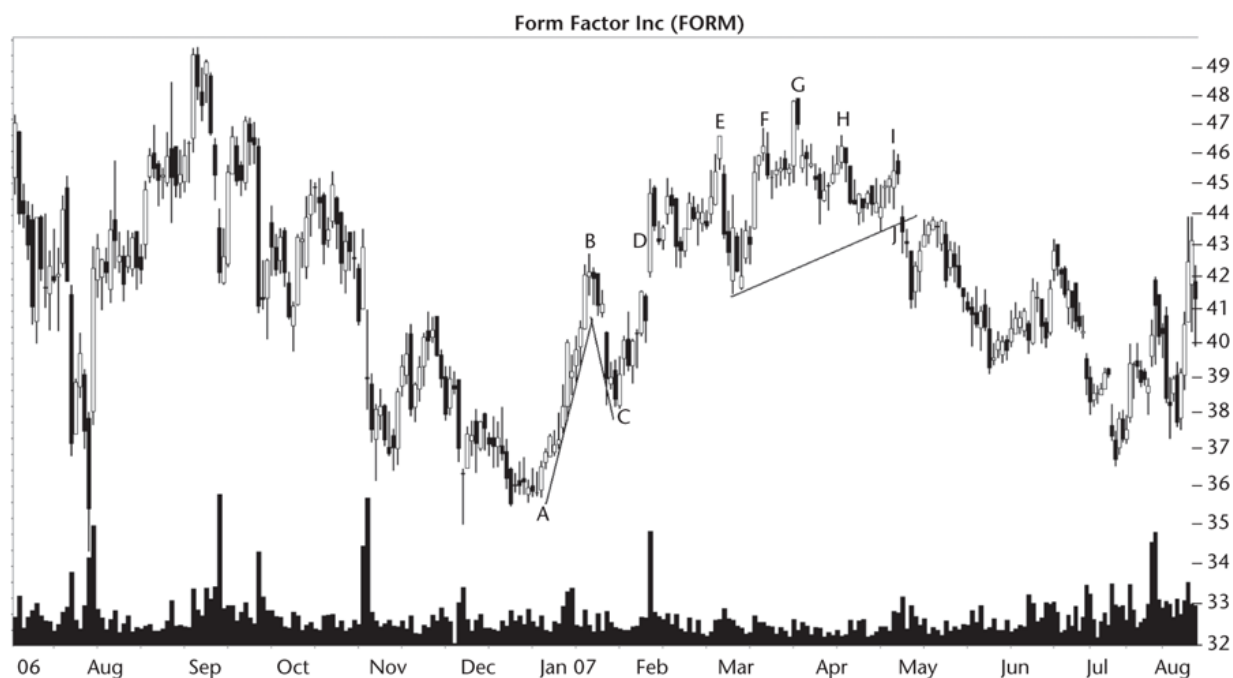


Figure 71.4 Jim traded this busted V-top and sold after a complex head-and-shoulders top appeared.

When the stock turned and started heading up, he placed a buy stop a penny above the top of the pattern. The stock cooperated and gapped higher (an exhaustion gap), but still triggered his buy order at 42.73 (D).

He held onto the stock, hoping to receive a big payout for trading a single-busted stock. He'd have to wait to see if it really was a single bust and not a double or triple+, but the probabilities suggested it would be. "I had faith."

Price struggled to move higher in the coming months. It peaked at G and then started to ease lower. That's when he noticed a complex head-and-shoulders top pattern. The two left shoulders (E, F) mirrored the two on the right (H, I) with a centrally located head (G). The neckline (the diagonal line leading to J), which is often nearly horizontal, tilted upward at a steep angle. He ignored the slope except that it provided a higher breakout price.

"The head-and-shoulders made me nervous. I forgot about making 84% from a busted V." He placed a stop-loss order a penny below the low between the two shoulders H and I, at 43.38. It triggered at J, cashing him out of the trade.

"I bought at 42.73, sold at 43.38, and made 65 cents a share, or about enough to buy a sub sandwich at the local deli."